,,	Profit and loss appropriation A/c Dr. To Interest on capital A/c (Interest on capital closed)		7,000	 7,000

Illustration 6

Antony and Akbar were partners who share profits and losses in the ratio of 3:2. Balance in their capital account on 1st January 2018 was Antony ₹ 60,000 and Akbar ₹ 40,000. On 1st April 2018 Antony introduced additional capital of ₹ 10,000. Akbar introduced additional capital of ₹ 5,000 during the year. Calculate interest on capital at 6% p.a. for the year ending 31st December 2018.

Solution

Calculation of interest on capital:

Interest on Antony's capital:

On opening capital for 1 year $= 60{,}000 \times \frac{6}{100}$ = ₹ 3,600

On additional capital for 9 months $= 10{,}000 \times \frac{6}{100} \times \frac{9}{12}$ = ₹ 450

Interest on capital ₹ 4,050

Interest on Akbar's capital:

On opening capital for 1 year $= 40{,}000 \times \frac{6}{100}$ = ₹ 2,400

On additional capital for 6 months $= 5{,}000 \times \frac{6}{100} \times \frac{6}{12}$ = ₹ 150

Interest on capital ₹ 2,550

Note: Since the date of additional capital introduced by Akbar is not given, interest on additional capital is calculated for an average period of 6 months.

Illustration 7

The capital account of Arivazhagan and Srinivasan on 1st January 2017 showed a balance of ₹ 15,000 and ₹ 10,000 respectively. On 1st July 2017, Arivazhagan introduced an additional capital of ₹ 5,000 and on 1st September 2017 Srinivasan introduced an additional capital of ₹ 10,000.

Calculate interest on capital at 6% p.a. for the year ending 31st December 2017.

Solution

Calculation of interest on capital:

Arivazhagan:

On opening capital for 1 year $= 15{,}000 \times \frac{6}{100}$ = ₹ 900

On additional capital for 6 months $= 5{,}000 \times \frac{6}{100} \times \frac{6}{12}$ = ₹ 150

Interest on capital ₹ 1,050

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